

Laundromat Investment Research Report - Week 1

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Report Date: February 5, 2026

Research Period: Week 1 (Inaugural Report)

Prepared For: Investment Decision & Due Diligence

EXECUTIVE SUMMARY

The U.S. laundromat industry represents a \$6.8 billion market with exceptional resilience and profitability characteristics. This report identifies prime investment opportunities based on current market data, active listings analysis, and comprehensive risk assessment.

Key Findings: - **Industry Success Rate:** 94.8-95% over 5 years (highest among small businesses) - **Profit Margins:** 20-35% EBITDA typical for well-operated stores - **Market Size:** \$6.8B U.S. market, 29,500-35,000 active locations - **Valuation Multiples:** 3-5x SDE or cash flow for established businesses - **ROI Expectations:** 15-30% IRR with 34-50 month payback periods - **Active Listings:** 750+ businesses currently available nationwide

1. STRONGEST MARKETS FOR LAUNDROMAT INVESTMENT

Top 5 Metro Markets (Ranked by Investment Potential)

1. Phoenix, Arizona

- **Urban Density:** 8,000+ people per sq mi
- **Rental Rate:** 57% of households rent (high in-unit laundry limitation)
- **Population Growth:** +50,000 annually
- **Renter Income Growth:** 41.6% over 5 years (2nd highest nationally)
- **Market Characteristics:** Fast-growing Sunbelt market, strong rental demand
- **Investment Thesis:** Explosive population growth + high rental rates = sustained demand

2. Houston, Texas

- **Urban Density:** High-density workforce housing corridors
- **Rental Rate:** 55% of households rent
- **Market Size:** 4th largest U.S. metro, diverse economy
- **Opportunity:** Underserved neighborhoods in Pleasant Grove, South Houston
- **Investment Thesis:** Affordable cost of entry, strong cash flow potential, scale opportunities

3. Atlanta, Georgia

- **Urban Density:** 8,500+ people per sq mi in core areas
- **Rental Rate:** 58% of households rent
- **Population Growth:** Consistent Southeast anchor market growth
- **Market Characteristics:** Institutional investment depth, strong demographics
- **Investment Thesis:** Stable growth market with professional management opportunities

4. Dallas-Fort Worth, Texas

- **Urban Density:** Multiple high-density corridors
- **Rental Rate:** 52% of households rent
- **Economic Drivers:** Logistics, healthcare, retail, finance sectors
- **Affordable Areas:** Pleasant Grove, Garland, South Dallas
- **Investment Thesis:** Economic diversification + population influx = resilient customer base

5. Los Angeles/Southern California

- **Urban Density:** 12,000+ people per sq mi (highest nationally)
- **Rental Rate:** 65%+ in core urban areas
- **Market Characteristics:** Mature market with premium pricing power
- **Water Costs:** Higher utility costs (mitigated by pricing pass-through)
- **Investment Thesis:** Highest revenue per store potential, established customer behavior

Market Selection Criteria (Site-Specific Requirements)

Criterion	Minimum Threshold	Optimal Range
Urban Density	8,000+ people/sq mi	10,000-15,000/sq mi
Rental Share	>50% of households	55-70%
Median HH Income	\$35,000-\$75,000	\$40,000-\$65,000
Competition Radius	<1 competitor per 5,000 residents	Exclusive 0.5-mile radius
Parking/Transit	10+ stalls or high foot traffic	15+ stalls + transit access
Visibility	Street-level visibility	Corner location with signage

2. INVESTMENT POTENTIAL ANALYSIS

Revenue & Profitability Benchmarks

Metric	Self-Service Model	Full-Service Model	Hybrid Model
Annual Revenue	\$200,000-\$350,000	\$300,000-\$500,000	\$400,000-\$750,000
Gross Margin	40-55%	30-45%	35-50%
EBITDA Margin	20-25%	15-20%	20-30%
Net Cash Flow	\$40,000-\$87,500	\$45,000-\$100,000	\$80,000-\$225,000
Labor % of Sales	5-10%	25-35%	15-25%
Utility % of Sales	15-20%	18-25%	16-22%

Return on Investment (ROI) Analysis

Valuation Multiples (Market-Based): - **SDE Multiple:** 3.10x - 4.25x (most common for small operations) - **EBITDA Multiple:** 3.4x - 4.8x (larger operations, multi-store) - **Cash Flow Multiple:** 3.0x - 5.5x (California standard: 36-66 months) - **Revenue Multiple:** 1.15x - 1.18x (distressed or turnaround situations)

Equipment Age Impact on Valuation: - **0-5 years old:** 4.5-5.5x cash flow multiple - **6-12 years old:** 4.0-4.5x cash flow multiple - **13-16 years old:** 3.5-4.0x cash flow multiple - **17+ years old:** Major discount (equipment replacement pending)

Expected IRR by Scenario:

Scenario	IRR Range	Payback Period	Cash-on-Cash Return
Bull Case (Premium Urban)	25-35%	24-36 months	30-50% Year 1
Base Case (Strong Market)	15-25%	34-50 months	20-30% Year 1
Bear Case (Competitive/Suburban)	8-15%	50-72 months	12-18% Year 1

Service Model Revenue Mix (2025 Trends)

Self-Service Only: - 100% coin/card-operated - Lowest labor, highest margin - Revenue: \$200K-\$350K annually

Hybrid Model (Recommended): - 65-75% self-service - 15-25% wash-dry-fold - 7-10% pickup/delivery - Revenue: \$400K-\$750K annually - **Pickup/delivery average order:** \$79.81 (premium pricing) - **Drop-off average order:** \$44.19

3. COMPLETE RISK ASSESSMENT

Risk Matrix with Mitigation Strategies

Risk Category	Severity	Probability	Impact	Mitigation Strategy
Utility Cost Shocks	High	Medium	3-8% margin compression	Lock fixed-rate contracts; invest in high-efficiency equipment; pass-through pricing (90-120 day lag)
Equipment Failure	Medium	Medium	\$5K-\$25K unplanned expense	Preventive maintenance program; IoT monitoring; equipment reserves
Competition (New Entrants)	Medium	Low	10-20% revenue erosion	Differentiate with tech/service; loyalty programs; premium positioning
Suburban In-Home Washer Penetration	Medium	High	Gradual demand decline	Focus on urban/high-density markets only
Regulatory (Water/Wastewater)	Medium	Medium	\$10K-\$50K compliance costs	Pre-acquisition regulatory audit; factor into deal structure

Risk Category	Severity	Probability	Impact	Mitigation Strategy
Theft/Vandalism	Low	Medium	\$500-\$2K monthly	Cashless systems (>90% adoption); security cameras; remote monitoring
Labor Shortage (Full-Service)	Medium	Medium	Service degradation	Competitive wages; streamline operations; automate where possible
Economic Recession	Low	Low	5-10% revenue dip	Essential service = recession-resistant; 95% customer retention

Operational Risk Details

1. **Rising Utility Costs (HIGHEST PRIORITY)** - **Water/Sewer:** 12-20% of sales (largest variable expense) - **Electricity:** Dryer/HVAC costs rising 3-5% annually - **Gas:** Hot water heating (if gas-fired systems) - **Mitigation:** - Negotiate utility contracts (fixed rates where available) - ENERGY STAR equipment (40% lower water usage by 2026 EPA standards) - High G-force extractors (reduce drying time 20-30%) - Price increases lag costs by 90-120 days (plan accordingly)
2. **Equipment Maintenance & Replacement - Lifespan:** Commercial washers/dryers last 8-14 years - **Annual Maintenance:** 2-6% of revenue - **Replacement Cost:** \$1,500-\$7,500 per machine (washers), \$1,200-\$5,000 (dryers) - **Mitigation:** - Establish equipment reserve fund (5% of revenue annually) - IoT-connected machines reduce downtime 20-30% - Service contracts with local distributors (faster response times)

3. Regulatory Compliance - Wastewater Regulations: Stricter limits in California, EU-standard states - **Permitting Timeline:** 90-180 days average (California: 180+ days) - **Operating Hour Restrictions:** Some municipalities limit 24/7 operations - **ADA Compliance:** Required for public facilities - **Mitigation:** - Hire local attorney for pre-acquisition regulatory review - Budget \$5K-\$15K for compliance in offer price - Join local laundromat association (regulatory advocacy)

4. Market/Competitive Risks - New Construction: Apartments with in-unit washers erode suburban demand - **Delivery Services:** Venture-backed competitors with aggressive pricing - **Mitigation:** - Urban-only investment thesis (avoid suburban greenfield) - Differentiate: technology integration, loyalty programs, premium service - Multi-location strategy (economies of scale)

Black Swan Events

Event	Likelihood	Impact	Mitigation
Pandemic-level disruption	Very Low	20-40% revenue drop	Essential service status (stayed open 2020-2021); delivery pivot
Extreme weather/flooding	Low	\$50K-\$200K damage	Flood insurance; elevated equipment; emergency backup power
Major utility rate shock (>25%)	Low	8-15% margin hit	Immediate pricing adjustment; customer communication; efficiency upgrades

4. UPFRONT COSTS BREAKDOWN

Total Startup Capital Required

Cost Category	Budget Range	Percentage of Total
Equipment	\$60,000-\$500,000	25-40%
Lease/Property Purchase	\$50,000-\$1,000,000+	20-50%
Renovations & Build-Out	\$20,000-\$150,000	8-20%
Utilities Setup	\$10,000-\$50,000	4-10%
Technology/POS	\$5,000-\$20,000	2-5%
Permits & Licenses	\$1,500-\$10,000	1-2%
Initial Inventory	\$2,000-\$10,000	1-2%
Marketing/Signage	\$2,000-\$10,000	1-2%
Working Capital Reserve	\$15,000-\$50,000	6-10%
TOTAL INVESTMENT	\$200,000-\$1,200,000	100%

Detailed Cost Components

Equipment Costs

Machine Type	Price Range (New)	Price Range (Used)	Qty per Store
20-lb Washers	\$2,500-\$4,000	\$1,200-\$2,000	15-25 units
30-40 lb Washers	\$4,000-\$6,500	\$2,000-\$3,500	8-15 units
60-80 lb Washers	\$8,000-\$20,000	\$4,000-\$10,000	2-6 units
Single Dryers	\$1,500-\$3,500	\$800-\$1,800	20-35 units
Stack Dryers	\$3,000-\$6,000	\$1,500-\$3,000	10-18 units
Total Equipment (Typical 2,500 sf store)	\$100,000-\$300,000	\$50,000-\$150,000	40-100 machines

Equipment Considerations: - **New vs. Used:** New equipment = higher upfront cost, lower maintenance, better efficiency - **Brand Comparison:** Speed Queen/Alliance (35-40% market share), Dexter (15%), Electrolux/Whirlpool (8-12% each) - **Lead Times:** 3-6 months for standard models (order early) - **Efficiency ROI:** ENERGY STAR models pay back 20-30% in utility savings annually

Real Estate Costs

Leasing (Preferred for First-Time Investors): - **Monthly Rent:** \$1,500-\$8,000 depending on market/size - **Triple Net (NNN):** Add \$500-\$2,000/month (property tax, insurance, CAM) - **Lease Deposit:** 1st month + last month + 1-2 months security = \$6,000-\$32,000 - **Lease Term:** Negotiate 7-10 years with renewal options - **Rent as % of Revenue:** Target 15-25% of gross sales

Purchasing (Property + Business): - **Urban Strip Center:** \$300,000-\$800,000 (including business) - **Standalone Building:** \$400,000-\$1,500,000+ (land + building + equipment) - **Financing:** SBA 7(a) loans available (10-20% down, 10-25 year terms)

Renovation & Build-Out Costs

Item	Cost Range	Notes
Plumbing Infrastructure	\$15,000-\$50,000	Water lines, drains, gas lines (major expense)
Electrical Upgrades	\$10,000-\$40,000	200-400 amp service, machine hookups
HVAC/Ventilation	\$8,000-\$25,000	Proper ventilation critical for dryers
Flooring	\$3,000-\$10,000	Commercial tile/epoxy coating
Interior Design	\$5,000-\$15,000	Seating, decor, kids' area, Wi-Fi
Exterior Signage	\$2,000-\$8,000	Illuminated signs, storefront
Security System	\$2,000-\$8,000	Cameras, alarm system, remote access

Rebates & Incentives: - **Utility Rebates:** \$3,000-\$15,000 for energy-efficient equipment - **SBA Microloans:** Up to \$50,000 for equipment/working capital - **Local Economic Development:** Some cities offer grants for business development

Technology & Systems

System	Cost	ROI/Benefit
Cashless Payment System	\$5,000-\$12,000	Eliminates theft; increases basket size 10-15%
POS Software	\$2,000-\$5,000	Centralized reporting, inventory management
IoT Machine Monitoring	\$3,000-\$8,000	Reduces downtime 20-30%; predictive maintenance
Customer Mobile App	\$2,000-\$10,000	Machine availability alerts, loyalty programs
Security Cameras (8-16 cams)	\$2,000-\$6,000	Remote monitoring, liability reduction

Financing Options

Financing Type	Down Payment	Terms	Interest Rate	Best For
SBA 7(a) Loan	10-20%	10-25 years	7-10%	Business acquisition + equipment
Equipment Financing	10-25%	5-7 years	6-12%	Equipment purchase only
Seller Financing	20-40%	5-7 years	5-8%	Existing laundromat purchases
Cash Purchase	100%	N/A	N/A	Best terms, fastest close

Typical Deal Structure (Seller Financing): - Purchase Price: \$350,000 - Down Payment: \$150,000 (43%) - Seller Note: \$200,000 @ 6% over 6 years - Monthly Payment: ~\$3,300 - Must demonstrate: debt service coverage ratio (DSCR) >1.25

5. ACTIVE LISTINGS ANALYSIS (10 Opportunities)

Listing #1: Memphis, TN - Multi-Store Portfolio ★★★★★

INVESTMENT GRADE: A (Best-in-Class)

- **Price:** Not disclosed (contact for details)
- **Revenue:** \$3.3M trending (2025)
- **Cash Flow:** Estimated \$660K-\$990K (20-30% EBITDA)
- **Location:** 9 stores in Memphis metro
- **Equipment:** Most <1 year old, some 3-5 years (all Dexter)
- **Operations:** 5 hourly employees + owner (potential for absentee ownership)
- **Strengths:**
 - Scale efficiencies across 9 locations
 - Modern equipment = low maintenance
 - Verified sales via armored car service
 - Turnkey operation
- **Risks:**
 - High acquisition cost (likely \$2M-\$5M based on multiples)
 - Memphis market demographics (median income \$54,000)
 - Multi-store management complexity
- **Valuation:** \$1.98M-\$4.75M (3-5x SDE assuming 30% margins)
- **ROI Projection:** 18-25% IRR with professional management
- **Contact:** Josh, (901) 651-6072, joshuatate101@gmail.com

Listing #2: St. Petersburg, FL ★★★★★

INVESTMENT GRADE: A- (Strong Buy)

- **Price:** \$350,000
- **Down Payment:** \$150,000
- **Revenue:** \$215,000 gross annually
- **Cash Flow:** \$105,000 (48.8% margin - excellent!)
- **Size:** 2,000 sq ft
- **Location:** Stand-alone building with high visibility, ample parking
- **Equipment:** Not specified (request age in due diligence)
- **Strengths:**
 - High cash flow margin (above industry average)

- Standalone building = less neighbor risk
 - Established customer base
 - Strong demographics in St. Pete (60% renters, growing market)
 - **Risks:**
 - Florida hurricane exposure (verify insurance costs)
 - Equipment age unknown (could face replacement soon)
 - **Valuation:** Priced at 3.33x cash flow (fair market value)
 - **ROI Projection:**
 - Cash-on-cash return: 30% (\$105K / \$350K)
 - Payback: 3.3 years on full price, 1.4 years on down payment
 - IRR: 25-30% (assuming stable cash flow)
 - **Contact:** Visit lbrokers.com/st-petersburg-laundry-for-sale
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Listing #3: Compton, CA ★★☆☆

INVESTMENT GRADE: B+ (Good Value)

- **Price:** Not disclosed
- **Revenue:** Not disclosed (request in due diligence)
- **Size:** 2,748 sq ft (+ 218 sq ft utility/plumbing room)
- **Equipment:** 26 dryers + 33 washers (card & coin operated)
- **Built:** 2012 (13 years old - equipment likely needs refresh)
- **Location:** W. Rancho Dominguez district, high-traffic residential area
- **Features:**
 - New card reader system
 - Surround sound speakers + flat screen TVs
 - High-quality plumbing system
- **Strengths:**
 - Near Compton Civic Center (foot traffic)
 - High rental density (72% of Compton households rent)
 - Well-equipped modern amenities
- **Risks:**
 - Compton demographics (median income \$43,000 - lower end)
 - Equipment age (2012 build = machines likely 10-13 years old)
 - California water costs + regulatory environment
- **Valuation:** Likely \$400K-\$650K based on size/location

- **ROI Projection:** 12-18% IRR (equipment refresh needed)
- **Contact:** Judith Gallardo, (714) 310-7757,
jgallardo@America1StRealty.com

Listing #4: Harper, Kansas ★★★★★

INVESTMENT GRADE: B+ (Unique Opportunity)

- **Price:** \$140,000 (negotiable, cash preferred)
- **Revenue:** \$5,200-\$5,500 monthly (\$62,400-\$66,000 annually)
- **Expenses:** ~\$1,325/mo utilities + \$725/mo rent/taxes = \$24,600/yr
- **Cash Flow:** ~\$38,000-\$41,000 annually (60-65% margin!)
- **Lease:** 8.5 years remaining (\$600/mo + \$125 taxes, caps at \$1,000)
- **Equipment:** Older Speed Queen (easy to repair)
- **Location:** ONLY laundromat within 25 miles (monopoly!)
- **Operations:** 24/7 operation, coin-only
- **Services:** Minimal WDF (untapped growth potential)
- **Strengths:**
 - Zero competition in 25-mile radius
 - Exceptional cash flow margin
 - Low rent with long-term lease
 - Established, loyal customer base
 - Owner distracted by other business (room for improvement)
- **Risks:**
 - Rural Kansas (small population = limited growth)
 - Older equipment (maintenance/replacement risk)
 - Coin-only (tech upgrade needed for growth)
 - Owner time commitment (not passive)
- **Valuation:** \$140K = 3.4-3.7x cash flow (fair value)
- **ROI Projection:**
 - Cash-on-cash: 27-29% annually
 - Payback: 3.4-3.7 years
 - Upside: Add WDF service, upgrade to cashless = +\$15K revenue potential
 - IRR: 20-25% with operational improvements
- **Contact:** johnandpampatterson@gmail.com

Listing #5: Manteca, CA ★★☆☆**INVESTMENT GRADE: B (Value Play)**

- **Price:** \$500K (or best offer - motivated seller!)
- **Revenue:** Not disclosed (“VERY well” - request P&L)
- **Location:** Manteca, CA (Central Valley, affordable housing market)
- **Equipment:** 32 washers (various sizes) + 37 dryers (various sizes)
- **Operations:** All coin-operated, established business
- **Condition:** “Needs some work but nothing major”
- **Strengths:**
 - Motivated seller (health issues = negotiation leverage)
 - Manteca demographics (60% renters, growing immigrant population)
 - “Never been in the negative” = profitable history
 - Room for improvement (WDF, delivery, cashless upgrades)
- **Risks:**
 - Deferred maintenance (needs work)
 - Coin-only = theft risk
 - NDA required (seller protecting info = could hide issues)
 - Central Valley water costs (higher than Bay Area coastal)
- **Valuation:** \$500K asking (likely overpriced if cash flow < \$125K)
- **Negotiation Strategy:**
 - Request 3 years tax returns + P&L
 - Verify equipment age/condition (inspection critical)
 - Offer \$350K-\$400K based on actual cash flow
 - Factor \$25K-\$50K for deferred maintenance
- **ROI Projection:** 10-18% IRR (depends on actual cash flow + renovation)
- **Contact:** Jim Anderson, spuncop1@gmail.com

Listing #6: Cheyenne, WY ★★★★★**INVESTMENT GRADE: B+ (Solid Opportunity)**

- **Price:** Not disclosed (request from realtor)
- **Revenue:** Not disclosed
- **History:** In business 70 years! (established brand)
- **Equipment:** 42 washers + 26 dryers + laundry equipment

- **Size:** 720 sq ft retail space (currently salon with separate entrance)
- **Services:** Strong drop-off laundry clientele
- **Location:** 900 W. Lincolnway (part of West Edge Project development)
- **Updates:** Many updates in last 18 months
- **Property:** Lot included in sale (HUGE VALUE!)
- **Strengths:**
 - 70-year brand equity (generational customer loyalty)
 - Real estate included (hedge against inflation)
 - West Edge Project = rising area value
 - Additional revenue from retail space (salon tenant or convert)
 - Recent updates = lower immediate CapEx
- **Risks:**
 - Cheyenne population 64,000 (small market)
 - Equipment age unknown (70 years in business = could be old machines)
 - Wyoming winters (snow removal, heating costs)
 - “Sold as-is” = buyer beware
- **Valuation:** Likely \$600K-\$900K (real estate + business)
- **ROI Projection:** 12-18% IRR (real estate value adds stability)
- **Contact:** Paula, (307) 331-7285, paula@sellcheyenne.com

Listing #7: Inland Empire/Pomona, CA ★★

INVESTMENT GRADE: C+ (Lease Takeover)

- **Price:** Lease takeover (no business sale price disclosed)
- **Revenue:** Not disclosed
- **History:** 10+ years in operation
- **Size:** 3,173 sq ft
- **Location:** Close to freeway + residential neighborhoods
- **Condition:** “Owner passed away” (estate sale - potential distress)
- **Strengths:**
 - Established location (10+ years = loyal customers)
 - Inland Empire demographics (70% renters, affordable housing boom)
 - Pomona population 150,000+ (critical mass)
 - Lease takeover = lower upfront cost

- **Risks:**
 - No business value disclosed (could be unprofitable)
 - “Good credit required” = lease may have unfavorable terms
 - Owner deceased = no seller financing, limited transition support
 - Equipment ownership unclear (lease or owned?)
 - **Due Diligence Required:**
 - Request lease terms (rent, length, escalations)
 - Verify equipment ownership (included or separate purchase?)
 - Review 2-3 years financials (estate should provide)
 - Inspect equipment condition
 - **Valuation:** Cannot assess without financials
 - **ROI Projection:** Unknown (pass without full disclosure)
 - **Contact:** (714) 726-1029, lauraleemurphy@outlook.com
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Listing #8: Cabot, AR ★★★★★

INVESTMENT GRADE: B+ (Fair Value)

- **Price:** \$195,000
- **Revenue:** Not disclosed
- **History:** 20 years in current location
- **Size:** ~3,000 sq ft
- **Location:** 100 N. 1st St., Cabot, AR
- **Equipment:** Most machines replaced in last 3 years (EXCELLENT!)
- **Strengths:**
 - Recent equipment upgrade = low maintenance for 8-12 years
 - 20-year established location (brand equity)
 - Cabot demographics (suburb of Little Rock, 40% renters)
 - Fair asking price for turnkey operation
- **Risks:**
 - Revenue not disclosed (red flag - request immediately)
 - Cabot population 26,000 (small market)
 - Suburban location (in-home washer competition)
- **Valuation:** \$195K likely = 3-4x cash flow (need revenue to confirm)
- **ROI Projection:**
 - If \$50K cash flow: 25% return (excellent)
 - If \$60K cash flow: 30% return (best-in-class)

- Payback: 3.25-3.9 years
- **Contact:** Tom Nolting, (501) 606-3731, t7knolting@yahoo.com

Listing #9: Fort Worth/Euless, TX ★★★★★

INVESTMENT GRADE: B+ (Stable Cash Cow)

- **Price:** \$350,000
- **Revenue:** “Stable for years” (request specifics)
- **Location:** Euless, TX 76040
- **Condition:** “Well-established, well-maintained”
- **Equipment:** Most purchased 2015 (10 years old - mid-life)
- **Operations:** “Cash cow” (seller retiring, moving out of state)
- **Strengths:**
 - Dallas-Fort Worth metro (1.5M+ renters)
 - “Staple in the community” = loyal customer base
 - Owner retiring (not forced sale = honest disclosure likely)
 - Stable revenue history
- **Risks:**
 - Equipment 10 years old (5-8 years of life remaining)
 - NDA required for financials (seller protecting privacy)
 - Revenue not disclosed (must verify cash flow)
 - Serious buyers only (seller screening = could delay process)
- **Valuation:** \$350K = needs \$87K+ cash flow to justify (4x multiple)
- **ROI Projection:** 18-25% IRR if cash flow is \$87K-\$105K
- **Contact:** Jevon White, (214) 974-2318, jevonwhitelaundry@gmail.com

Listing #10: Wellington, KS - Multi-Asset ★★★★★

INVESTMENT GRADE: B- (Diversified, Complex)

- **Price:** \$1,850,000
- **Assets:** 2 car wash locations + mini storage (39 units, 100% occupied)
+ laundromat
- **Location:** 405 W 15th St & 527 E 16th St, Wellington, KS
- **Condition:** “Very well maintained and updated”
- **Recent Updates:** New automatic car wash (2019), new laundromat roof
- **Competition:** “Little to no local market competition”
- **Strengths:**

- Diversified income streams (recession-resistant portfolio)
 - 100% occupancy on storage (immediate cash flow)
 - Recent CapEx (car wash, roof) = lower maintenance
 - Small-town monopoly (limited competition)
 - **Risks:**
 - Wellington population 7,700 (very small market)
 - Complex multi-asset management (car wash + storage + laundromat)
 - High acquisition cost for small-town assets
 - Revenue split not disclosed (how much is laundromat vs. other assets?)
 - **Valuation:** Cannot assess laundromat alone (bundled deal)
 - **ROI Projection:**
 - Need revenue breakdown by asset
 - Likely 8-12% IRR on total portfolio (diversification discount)
 - Best for operator seeking lifestyle business in small town
 - **Contact:** Kevin Howell, (316) 292-3971, khowell@weigand.com
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6. INVESTMENT QUALITY RANKING

Top 3 Recommendations for Immediate Action

Rank	Listing	Location	Price	Cash Flow	ROI
 1	St. Petersburg, FL	St. Petersburg, FL	\$350K	\$105K	30%
 2	Harper, KS	Harper, KS	\$140K	\$40K	27%
 3	Memphis Portfolio	Memphis, TN	\$2M-\$5M	\$660K-\$990K	20-25%

Investment Strategy by Buyer Profile

 **First-Time Buyer (\$150K-\$400K budget):** 1. **St. Petersburg, FL** - Turnkey, transparent, strong market 2. **Cabot, AR** - Low price, new equipment, simple operation 3. **Harper, KS** - Monopoly, low risk, room for improvement

 **Experienced Operator (\$400K-\$1M budget):** 1. **Fort Worth/Euless, TX** - DFW market, stable cash flow, mid-size 2. **Cheyenne, WY** - Real estate included, additional revenue (salon) 3. **Manteca, CA** - Negotiation opportunity, upside potential

 **Multi-Store Investor (\$1M+ budget):** 1. **Memphis Portfolio** - 9 stores, scale efficiencies, absentee model 2. **Combination:** St. Petersburg + Cabot + Harper = 3-store regional portfolio

7. DUE DILIGENCE CHECKLIST

Before making an offer, complete the following for each target:

Financial Verification

- ☐ 3 years tax returns (verify actual revenue, not “stated”)
- ☐ 12 months P&L statements (monthly breakdown)
- ☐ Bank statements (verify deposits match stated revenue)
- ☐ Utility bills (verify costs, identify efficiency opportunities)
- ☐ Lease agreement (verify rent, terms, renewal options, assignment clause)
- ☐ Equipment purchase receipts (verify age, warranty status)

Physical Inspection

- ☐ Professional equipment inspection (hire laundry technician)
- ☐ Building inspection (roof, plumbing, electrical, HVAC)
- ☐ Equipment age verification (serial numbers → manufacturer date codes)
- ☐ Test all machines (operate 5-10 cycles to verify functionality)
- ☐ Water pressure test (low pressure = slow fills = customer complaints)
- ☐ Drainage inspection (slow drains = major repair expense)

Market Analysis

- ☐ Competitive radius survey (visit all competitors within 1 mile)
- ☐ Census data review (verify rental %, median income, density)
- ☐ Traffic count (visit site 3x: weekday morning, weekday evening, weekend)
- ☐ Customer interviews (talk to 10-15 customers during visit)
- ☐ Online reputation check (Google reviews, Yelp, Facebook)

Legal/Regulatory

- ☐ Zoning verification (confirm laundromat use is permitted)
- ☐ Environmental compliance (water discharge permits, wastewater)
- ☐ ADA compliance audit (identify required upgrades)
- ☐ Business license transfer process (verify city/county requirements)
- ☐ Lease assignment approval (landlord must approve new tenant)
- ☐ Outstanding liens search (title company or attorney)

Seller Verification

- ☐ Reason for selling (retirement, health, or red flag?)
- ☐ Ownership length (2+ years preferred for accurate performance data)

- ☐ Transition support (will seller train for 30-60 days?)
- ☐ Non-compete agreement (5-10 mile radius, 3-5 years)
- ☐ Equipment warranties (transferable to new owner?)

8. CONTACT SHEET FOR FOLLOW-UP

Priority 1 Contacts (Call This Week)

Business	Contact Name	Phone	Email	Best Time to Call
St. Petersburg, FL	Visit website	N/A	Via lbrokers.com	M-F 9am-5pm EST
Harper, KS	John or Pam Patterson	N/A	johnandpampatterson@gmail.com	Anytime (email first)
Memphis Portfolio	Josh	(901) 651-6072	joshuatate101@gmail.com	M-F 9am-6pm CST

Priority 2 Contacts (Call After Initial Review)

Business	Contact Name	Phone	Email	Best Time to Call
Fort Worth/Euless, TX	Jevon White	(214) 974-2318	jevonwhitelaundry@gmail.com	M-F 10am-5pm CST
Cabot, AR	Tom Nolting	(501) 606-3731	t7knolting@yahoo.com	M-F 9am-6pm CST
Cheyenne, WY	Paula (Realtor)	(307) 331-7285	paula@sellcheyenne.com	M-F 9am-5pm MST

Priority 3 Contacts (Research Further Before Contact)

Business	Contact Name	Phone	Email	Notes
Compton, CA	Judith Gallardo	(714) 310-7757	jgallardo@America1StRealty.com	Request price + financials first
Manteca, CA	Jim Anderson	N/A	spuncop1@gmail.com	Motivated seller - negotiate hard
Pomona, CA (Lease)	N/A	(714) 726-1029	lauraleemurphy@outlook.com	Need lease terms + financials
Wellington, KS	Kevin Howell	(316) 292-3971	khowell@weigand.com	Multi-asset - complex deal

Additional Listing Platforms

- **BizBuySell:** 363 laundromats listed (requires account to view details)
 - **BizQuest:** 388 laundromats listed (browse at bizquest.com)
 - **LoopNet:** Commercial real estate + businesses (filter for laundromats)
 - **Laundromat Brokers:** Specialized brokers (see LaundryBizCenter directory)
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9. FINANCING PRE-APPROVAL STRATEGY

Recommended Lenders

SBA 7(a) Lenders (Best for Acquisition): - **Live Oak Bank** - Laundromat specialists, 10% down, up to \$5M - **Huntington Bank** - SBA preferred lender, fast approval - **TD Bank** - Strong small business lending, local branches

Equipment Financing: - **Alliance Laundry Systems** - Manufacturer financing, 6-8% rates - **Girbaud Distribution** - Speed Queen distributor, flexible terms - **Eastern Funding** - Equipment-only loans, 10% down

Local Community Banks: - Often better terms for local buyers - Visit 3-5 banks in target market - Bring business plan + personal financials

Documents Needed for Pre-Approval

- ☐ Personal credit report (720+ score preferred)
 - ☐ 2 years personal tax returns
 - ☐ Personal financial statement (assets & liabilities)
 - ☐ Resume/business experience summary
 - ☐ Business plan (use this report as foundation)
 - ☐ Target property details (listing info, photos, financials)
 - ☐ Down payment verification (bank statements showing liquid funds)
-

10. NEXT STEPS & ACTION PLAN

Week 1 Actions (Immediate)

Day 1-2: - [] Call St. Petersburg, FL listing (Priority #1) - [] Email Harper, KS sellers (Priority #2) - [] Request financials from Memphis portfolio (Priority #3)

Day 3-4: - [] Apply for SBA loan pre-approval (Live Oak Bank recommended) - [] Schedule site visits to top 3 targets - [] Hire local laundromat broker for market guidance

Day 5-7: - [] Create spreadsheet comparing all listings - [] Negotiate prices on 2-3 finalists - [] Draft Letter of Intent (LOI) for best opportunity

Week 2-4: Due Diligence Phase

- ☐ Execute NDAs with sellers
- ☐ Review financials (tax returns, P&L, bank statements)
- ☐ Conduct site inspections (equipment, building, market)
- ☐ Hire attorney for purchase agreement review
- ☐ Finalize financing (loan commitment letter)

Week 5-8: Closing Phase

- ☐ Negotiate final purchase price
- ☐ Execute purchase agreement
- ☐ Complete inspections and contingency removals
- ☐ Secure insurance (liability, property, business interruption)
- ☐ Close transaction and take possession
- ☐ Begin owner training/transition period

APPENDIX A: INDUSTRY DATA SOURCES

All data in this report sourced from:

1. **Press Cleaners** - Laundromat Statistics 2025 (October 2025)
2. **Dojo Business** - Laundromat Industry Market Statistics (October 2025)
3. **The Laundry Boss** - U.S. Laundromat Demographics & Industry Overview (September 2025)
4. **IBISWorld** - Laundromats in the US Industry Analysis 2025
5. **Arrowfish Consulting** - Laundromat Valuation Guide (September 2025)
6. **Laundry Biz Center** - Active Listings (December 2025-February 2026)
7. **BizBuySell** - Laundromat Valuation Multiples & Benchmarks
8. **Trycents** - Into the Fold 2025 Report (Industry Financial Benchmarks)
9. **Multiple Rental Market Reports** - Phoenix, Houston, Dallas, Atlanta demographics (2025)

APPENDIX B: VALUATION CALCULATOR

Use this formula to quickly assess any listing:

Step 1: Calculate SDE (Seller's Discretionary Earnings)

SDE = Net Income + Owner Salary + Interest + Depreciation + One-Time Expenses

Step 2: Apply Appropriate Multiple - New equipment (0-5 years): 4.5-5.5x SDE - Mid-age equipment (6-12 years): 4.0-4.5x SDE - Older equipment (13-16 years): 3.5-4.0x SDE - Old equipment (17+ years): 2.5-3.5x SDE (factor in replacement costs)

Step 3: Adjust for Market Factors - **Add 10-20%:** Premium urban market (NYC, LA, SF, Chicago) - **Add 5-10%:** Strong growth market (Phoenix, Atlanta, Dallas, Houston) - **No adjustment:** Stable market (small cities, established suburban) - **Subtract 10-20%:** Declining market (rural, high home ownership)

Step 4: Factor in Additional Assets - Real estate: Add appraised land/building value - Inventory: Add current inventory at cost - Accounts receivable: Add collectible AR (commercial WDF clients)

Example Calculation: - Annual Revenue: \$250,000 - Operating Expenses: \$125,000 - Owner Draws: \$75,000 - Net Income: \$50,000 - SDE = \$50,000 + \$75,000 = \$125,000 - Equipment Age: 8 years = 4.25x multiple - Base Value: \$125,000 x 4.25 = \$531,250 - Market: Phoenix (growing) = +7.5% - **Fair Market Value: \$571,094**

CONCLUSION

The laundromat industry offers exceptional investment potential for entrepreneurs seeking stable, cash-flowing businesses with strong recession resistance. Key takeaways:

- ✅ **Industry Strength:** 95% success rate, 20-35% margins, \$6.8B market
- ✅ **Best Markets:** Phoenix, Houston, Atlanta, Dallas, Los Angeles (high rental density)
- ✅ **Valuation:** 3-5x SDE/cash flow typical, equipment age is critical factor
- ✅ **ROI Expectations:** 15-30% IRR with 34-50 month payback in base case
- ✅ **Top Opportunities:** St. Petersburg FL, Harper KS, Memphis portfolio stand out
- ✅ **Risk Management:** Focus on urban markets, modern equipment, utility cost controls
- ✅ **Action Plan:** Contact top 3 listings this week, secure SBA pre-approval, conduct due diligence

Recommended Initial Investment: St. Petersburg, FL listing (\$350K asking, \$105K cash flow, 30% ROI) represents the best risk-adjusted opportunity for immediate action.

Report prepared using comprehensive web research & active listing analysis

Next Report: Week 2 (February 12, 2026) - Market updates & new listings review